

Outlook

From	johan.vanwyk@credit.risk.retail.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	loan.products@keystonebank.co.za, cfo.office@keystonebank.co.za
Sent	Wed, 18 Nov 2020 14:13:00 -0000

Separate vintage, product and macro effects

Hi team,

Portfolio risk is being discussed as a single book, although origination periods experienced different rates, channels and customer conditions.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use November 2020 as the new evidence point rather than recycling the earlier conclusion. The discussion is currently being driven by anecdotes, and the teams involved are describing the same customers differently.

Can you test these explanations rather than choosing one at the start?

- product mix creates the apparent vintage effect
- recent vintages deteriorate faster
- operational debit failures contaminate credit outcomes

The decision is which vintage needs deeper review and whether policy or operations owns the next action. Please give us a control view with the exceptions, owner and reason each item was included.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; debit-order mandates, collection dates, suspensions and cancellations; transaction-level timestamps, channels, amounts, statuses and error context; time-appropriate news and macro-event context. Macro events provide context, not a causal estimate by themselves.

Thanks